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Burberry | Europe

Addressing Investor Pushback;
Stay Overweight

We address the key areas of investor pushback we have received today on Burberry's Q1 results. We continue to see this set of results as a further proof point of solid execution on the turnaround story. We remain Overweight.

Burberry reported Q1 '27 sales this morning (see more [here](#)), which in our view demonstrated continued execution of the company's strategy – delivering +5% LFL (=Jan-Mar) despite a tougher comparison base (=500bps yo2y acceleration) and incremental Middle East and tourism headwinds amid a seasonally "low" quarter for the brand. Despite this, the shares today are underperforming the sector by ~500bps at the time of writing (albeit also partially reversing some late outperformance yesterday afternoon). Investor pushback we have received so far today has largely centered on the increased "hockey stick" embedded in FY27 guidance across key P&L lines, perceptions of an implied "underlying" FY27 downgrade, as well as a lack of confidence in the multi-year equity story. We address key areas of investor pushback and FAQ below. Overall, we think the negative market reaction today is overdone. We believe Burberry continues to execute strongly on its initiatives across product, marketing, and distribution, which ought to drive continued LFL momentum and margin progression through FY27 and beyond. Our FY27e EBIT of £251m is unchanged – although with today's conference call clearly pointing to increased upside risk to this forecast, in our view, investor H1 expectations also now aligned, and Burberry's key selling season ahead. We stay Overweight.

Addressing Key Areas of Investor Pushback:

Top line – "Tougher comps ahead?": Most investors generally pointed to Q1's +5% LFL as being more/less in-line or slightly better than feared. Nonetheless, while not a "new" debate today, some investors are pushing back that consensus estimates embed a significant acceleration in yo2y LFL growth in H2. We note however that management clearly pointed to confidence in the company's top-line trajectory, despite the tougher comparison base in H2, providing a comprehensive overview on ongoing product pipeline and marketing initiatives to continue to drive top-line growth through H2 and beyond. We fundamentally disagree on the "tougher comps" bear argument – with the comparison base less of an important factor for brand turnaround stories, in our view. To this point, we note Burberry has demonstrated another yo2y LFL acceleration this quarter (+500bps yo2y sequential acceleration), the fourth consecutive quarter of a yo2y sequential improvement. Further, we note Burberry has achieved this amid a seasonally "low" quarter for the brand, higher tourism exposed quarter (with tourism an ongoing drag for the quarter) and despite incremental headwinds from the Middle East (200bps headwind to EMEA in Q1 vs. 100bps headwind in Q4). We note the quality of growth also continues to improve,

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Burberry (BRBY.L, BRBY LN)

Top Pick

Brands | United Kingdom

Stock Rating	Overweight
Industry View	In-Line
Price target	1,350p
Shr price, close (Jul 16, 2026)	1,121p
52-Week Range	1,377-976p
Mkt cap, curr (mn)	£4,037
Net debt (03/27e) (mn)*	£(365)
EV, curr (mn)*	£3,940

* = GAAP or approximated based on GAAP

Fiscal Year Ending	03/26	03/27e	03/28e	03/29e
Sales / Revenue (£mn)**	2,420	2,559	2,714	2,883
EBIT (£mn)**	160	251	357	447
EPS (p)**	15.2	36.9	59.0	78.3
Prior EPS (p)**	-	-	-	-
P/E**	72.0	30.4	19.0	14.3
EV/revenue*	1.6	1.4	1.2	1.0
EV/EBIT**	24.1	14.7	9.4	6.8
DPS (p)	0.0	0.0	20.0	25.0
Div yld (%)	0.0	0.0	1.8	2.2
FCF yld ratio (%)**	8.5	8.2	9.9	11.9

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

* = GAAP or approximated based on GAAP

e = Morgan Stanley Research estimates

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with growth increasingly broadened out across product categories (handbags now positive), clusters (European cluster now positive) and driven by improved full price selling (with discounting down yoy). Overall, we see Q1's top-line performance as fundamentally solid and a further proof point of Burberry's pragmatic and iterative strategy slowly but surely making progress each quarter.

"H2 gross margin hockey stick?": CFO Kate Ferry on the conference call today reiterated that for FY27 Burberry *"absolutely expect to achieve another year of gross margin expansion"* – with our FY27 GM forecast remaining unchanged at +50bps yoy. In addition management once again reiterated their strong confidence in Burberry's medium-term GM target of 70%. Somewhat weighing on the stock today however is the commentary on near-term gross-margin phasing, with management flagging (when asked) that H1 27 gross margin could be *"maybe down ever so slightly"* (=potential slight upside to our updated model of -50bps yoy – albeit still below the +30bps we modelled prior to the print). **Importantly, management emphasized that the slightly weaker than expected GM performance in H1 is not a function of increased discounting or elevated inventory levels** – with management on the call noting *"it's not to do with inventory positions. We're very comfortable. We're in a cleaner position than we have ever been"* and further adding *"the quality of sales is really the point that we want to land today, lower markdown year-on-year, certainly less discounting"*. The yoy H1 potential slight decline in gross margin was instead noted as returning to a *"much more normalized phasing"* in line with historical gross margin cadence. Specifically management noted the traditional seasonality of the business and the impact this has on provisioning, flagging *"we do have more revenue in H2 versus H1. And we do tend to build up inventory ahead of our peak period, and therefore, naturally you're going to get a little bit more provisioning in the first half as well... we're now into growth mode."* Further on this inventory provisioning point, management highlighted that *"we are now returning, if you like, to a more normalized level of provisioning. So don't forget that during FY25, we raised significant inventory provisions. You'll remember that we recognized the gross margin impact at the time. Then, of course, FY26 first-half gross margin did benefit from the sale of the inventory that had already been provided for in an earlier period, and that just naturally creates tougher year-on-year comps for H1 this year for full-year '27."* In addition to management's commentary on inventory provisioning weighing on H1 gross margins, we flag H1 gross margins are also likely negatively impacted by headwinds from licensing, Middle East and tariffs – the combined impact of which ought to fade into H2. Nonetheless we note some investor hesitation on the gross-margin drivers in H1, with bears arguing that LFL growth is being driven by increased discounting (+increased A&P spend) and some investors observing that the cadence of GM could have been flagged more strongly at the time of FY26 results in May, with Burberry's gross-margin delivery now somewhat of a "show-me" story into H2.

"Opex control H2 weighted?": Importantly, Burberry once again emphasized plans for strong opex control on a full-year basis. **Specifically, management noted several times throughout the call that they are "absolutely committed" to broadly flat opex this year and "then you will really start to see the leverage coming through."** However, similarly to gross margin, management did flag some phasing adjustments to consider on H1 EBIT, noting *"potentially a little bit more opex*

than H1 last year" due to the timing of marketing spend (essentially a small shift of ~£10m on our estimates from October to September) despite "no change to the expectations of marketing investment for the full year." We see this as a simple small timing shift between H1 and H2, and were impressed by management's strong confidence on controlling opex as close to flat as possible – driving meaningful operating leverage on a full year basis.

"Implied underlying guidance downgrade?": Another area of investor pushback this morning has been around perceptions of an implied underlying guidance downgrade. Specifically, investors noted that the company did not point to any change in company-collated consensus of FY27 EBIT of £246m despite (i) FX upgrade (EBIT neutral vs. £10m headwind prior – although we note that mark to market this has already somewhat faded with ongoing FX volatility); and (ii) wholesale upgrade (H1 +HSD vs. +MSD prior). Bears have concluded that this amounts to an underlying guidance downgrade. **Management were clear on this point on today's conference call, however, noting that there is "absolutely no downgrade" within the outlook commentary.** Indeed we note Burberry's outlook commentary is not specific, noting they are "happy with £246m" but also proactively flagging that there is a "broad range out there... this is just Q1. and you probably wouldn't expect me to start trying to move consensus at this stage." Indeed we interpreted Burberry's commentary today as conservative, and if anything signalling upside to FY27 estimates, although it is too early to specifically adjust outlook commentary at this stage. Indeed to this point, on today's conference call management noted "we are feeling more confident, whether it's in the short and indeed more importantly, the longer-term trajectory for Burberry, absolutely. And just to reiterate some of the points that Josh has made, we are continuing to see improvement quarter-on-quarter. We are seeing more and more proof points that the strategy is working. And therefore, whilst we are not changing consensus at this early stage of the year, we are certainly increasing in our confidence in Burberry forward."

"Consensus has too much multi-year margin leverage": Lastly another area of investor feedback has been on Burberry's multi-year margin progression and that consensus (and our estimates) are too demanding on multi-year top-line growth, opex leverage and consequently EBIT margin. We note today that CFO Ferry once again outlined the company's confidence in the long-term margin trajectory of the business. Specifically noting "I hope you picked up from our comments today that our confidence in the long-term trajectory of this business is certainly increasing. The strategy is working. I think with every time we come to talk to you, we have more and more proof points that Burberry Forward is delivering. And ultimately, it is this that is going to drive the revenue growth. On the margin, absolutely, we've stated an ambition to get back to 70% gross margin. We were there just a few years ago. You saw a really good uptick in the year just reported, and we will continue with gradual improvement back towards the 70%. Likewise, on OpEx, we've guided to broadly flat OpEx this year, and then you will really start to see the leverage coming through." Importantly, we note Burberry's messaging on the store network each quarter points to increased discipline on the store network, which also ought to help improve sales densities and provide a leg of support to Burberry's margin story. We continue to model Burberry GM returning to ~70% and EBIT margin to ~18% by FY30.

Morgan Stanley Burberry Research

- [Best Dressed Recovery Story; Upgrade to OW](#)
- [More Boxes Checked; Takeaways from Paris](#)
- [Rebuilding Momentum](#)
- [Talk from the Trade Channel Checks](#) - pointing to strong momentum at Burberry; consistent with today's upgraded H1 wholesale guidance (+HSD vs. +MSD prior)
- [Live from NYC](#)

Valuation Methodology and Risks

Burberry (BRBY.L)

Our price target is derived using a DCF valuation to reflect Burberry's monobrand status, revenue growth opportunities and potential for long-term margin recovery. We assume a WACC of 10% and a long-term growth rate of 2.0%, in line with mono-brand peers.

Risks to Upside

- Burberry's strategic initiatives could lead to greater than expected brand momentum, outpacing our +6% LFL medium-term LFL growth forecast, and leading to quicker than expected margin recovery.
- M&A speculation could re-emerge driving a re-rating.

Risks to Downside

- Strategic initiatives may lose momentum following the initial gains.
- We may be underestimating the level of opex increase to sustain top-line momentum.

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(as of June 30, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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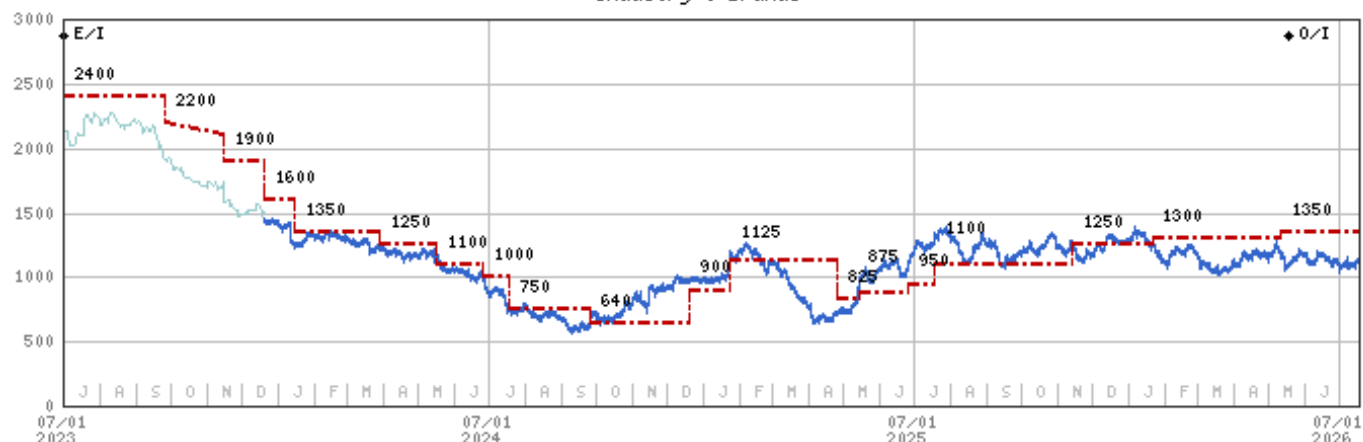
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Stock Price, Price Target and Rating History (See Rating Definitions)

Burberry (BRBY.L) - As of 07/17/26 GMT in GBp
Industry : Brands



Stock Rating History: 7/1/21 : E/I; 5/18/26 : O/I

Price Target History: 6/25/21 : 2220; 9/16/21 : 2000; 12/19/21 : 1900; 1/19/22 : 2000; 4/11/22 : 1850; 5/18/22 : 1900; 1/17/23 : 2200; 3/29/23 : 2330; 4/25/23 : 2500; 6/21/23 : 2400; 9/26/23 : 2200; 11/16/23 : 1900; 12/21/23 : 1600; 1/15/24 : 1350; 3/28/24 : 1250; 5/16/24 : 1100; 6/25/24 : 1000; 7/18/24 : 750; 9/26/24 : 640; 12/19/24 : 900; 1/24/25 : 1125; 4/25/25 : 825; 5/14/25 : 875; 6/25/25 : 950; 7/18/25 : 1100; 11/13/25 : 1250; 1/21/26 : 1300; 5/12/26 : 1350

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
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INDUSTRY COVERAGE: Brands

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/16/2026)
Edouard Aubin		
Adidas (ADSGn.DE)	O (04/15/2024)	€182.95
Birkenstock Holding plc (BIRK.N)	E (11/06/2023)	US\$44.31
Ferrari NV (RACE.N)	O (06/15/2026)	US\$382.58
Ferrari NV (RACE.MI)	O (06/15/2026)	€334.05
Hermes International S.C.A. (HRMS.PA)	E (10/06/2025)	€1,706.00
Kering (PRTP.PA)	E (04/10/2026)	€255.40
LVMH Moët Hennessy Louis Vuitton SA (LVMH.PA)	E (01/19/2026)	€503.10
Richemont SA (CFR.S)	O (02/05/2025)	SFr 197.40
Grace Smalley, CFA		
Burberry (BRBY.L)	O (05/18/2026)	1,121p
EssilorLuxottica SA (ESLX.PA)	O (07/05/2023)	€169.50
Hugo Boss AG (BOSSn.DE)	E (07/09/2024)	€37.90
Luxexperience BV (LUXE.N)	E (09/15/2023)	US\$8.09
Pandora A/S (PNDORA.CO)	E (01/16/2023)	DKr 800.60
PUMA SE (PUMG.DE)	++	€29.37
Natasha Bonnet		
Avolta AG (AVOL.S)	E (04/24/2026)	SFr 48.68
Brunello Cucinelli (BCU.MI)	O (01/27/2026)	€83.64
Ermenegildo Zegna (ZGN.N)	E (02/12/2026)	US\$14.43
Moncler SpA (MONC.MI)	E (06/22/2026)	€52.08
Prada SpA (1913.HK)	E (06/29/2026)	HK\$41.16
Salvatore Ferragamo Spa (SFER.MI)	U (02/12/2026)	€10.59

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* Historical prices are not split adjusted.